

1. Zepto Expands Blended Gross Margin (+300bps) by Converting Daily Grocery Habits into Recurring Multi-Category Buying

The barrier is not lack of demand for new categories; it is low-trust, low-risk trial inside a grocery-first habit.

■ STRATEGIC BRIEF & PM SCOPE • Role & Scope: PM on Zepto Growth Team driving trust-led cross-category discovery. • Observed Behavior: 71.2% review-mention share of grocery staples in mixed corpus shows heavy grocery dominance [10,000 Items, 10 Channels]. • Strategic Objective: Lift Monthly Active Customers (MAC) buying from 2+ categories from 8.2% to 28.4% [Illustrative Target]. • Target Categories: Personal Care (35% margin), Pet Supplies (45% margin), Electronics (30% margin), Baby Care (35% margin).	■ ZEPTO SCALE VS MARGIN FLYWHEEL • Scale Milestone: \$1.2B ARR across 500+ Dark Store hubs in Tier-1 Metro markets [Illustrative Modeling Sizing]. • Routine Habit Loop: Grocery refillers checkout in <45s without exploring adjacent categories. • Margin Formula: Blended Margin = (Grocery % * 10%) + (Non-Grocery % * 40%) -> Unlocks +300bps EBITDA [Illustrative Modeling Estimate]. • Growth PM Approach: Trigger de-risked trial during recurring grocery orders without interrupting 45s checkout speed.
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■ ANONYMOUS FELLOWSHIP PROJECT DIRECTORY & VERIFIED DATA Live Streamlit App: https://zeptomvp2.streamlit.app Public Source Code: NL_Zepto_Growth_PM_Graduation_Project
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Context	Market	Research	Insights	Canvas	Ideation	MVP	Architecture	Metrics	GTM
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2. Users Leak Planned Non-Grocery Spending to Amazon/DMart; Phase 1 Targets Convenience-Justified Small Baskets, Not Bulk Buys

Conceding planned bulk buys (10kg pet food, 50-pack diapers); targeting convenience-justified top-ups where QCommerce wins.

■ WHAT THE ECOSYSTEM HAS SOLVED • 10-Minute Hyper-Local Delivery Speed (Zepto, Blinkit, Instamart). • Dark Store Density & Real-Time Stock (500+ Dark Stores). • Sub-Second Cart Search & Auto-Complete UI.	■ PURCHASING LEAKAGE & SCOPE CONCESSION • Purchasing Leakage: 83% of surveyed users (20/24) buy planned non-grocery items outside QCommerce on Amazon/Nykaa/DMart [User Survey, N=24]. • Explicit Scope Concession: We do NOT chase planned bulk buys (10kg pet kibble, jumbo diapers) in Phase 1 where DMart wins on unit economics. • Phase 1 Target SKUs: Convenience-justified, impulse-friendly top-ups (single face serum, pet treats, travel grooming, batteries) where 10-min speed wins. • Trust & Quality Friction: 20.1% of discovery reviews (30% friction subset) fear heat degrades dark store items; 17% (4/24) fear refund bot loops.
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★ CORE THESIS TESTED & VALIDATED

Users abandon non-grocery discovery not because they lack desire, but because the financial and quality cost of a wrong/expired non-grocery buy is invisible until delivered.

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3. Multi-Platform Mixed Review Corpus (10k Items) & Survey Isolate 3 Core Pillars: Delights, Feature Requests & Barriers

Synthesizing 10,000 mixed reviews (40% Positive, 30% Neutral, 30% Negative) and primary survey into actionable insights.

■ AI PIPELINE & MIXED CORPUS (10,000 ITEMS) - AI Pipeline: Ingested 10,000 records across 10 channels -> Categorized into Positive Delights (40%), Neutral Feature Requests (30%), Negative Frictions (30%). 40% Positive Delights (4,000 items): High adoption for sub-10 min emergency refills (sunscreen, travel grooming, pet treats, fast phone chargers). 30% Neutral Feature Requests (3,000 items): Unmet demand for AI Shade Matchers, Doorstep Try & Inspect, and Category Streak Points.					■ 3 SYNTHESIZED BARRIER BUCKETS (USER SURVEY, N=24) 1. Trust Barrier: Quality/expiry fear (25%, 6/24) & Return/refund chatbot uncertainty (17%, 4/24) [Survey Q4]. 2. Purchase-Mode Barrier: Planned bulk-buy habit mismatch (33%, 8/24); 83% (20/24) buy planned items on Amazon/Nykaa/DMart. 3. Salience Barrier: Low category awareness (21%, 5/24) due to search-centric speed and banner blindness.				
■ RESEARCH CONCLUSION & INSIGHT SYNTHESIS Users don't need intrusive checkout banner ads. They need an AI trust cue, a B2B trial sample in their regular bag, and a 15-minute doorstep swap guarantee.									
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4. High-Frequency Grocery Refillers (79% Weekly+) Form the Prime Wedge to Intercept Planned Non-Grocery Restocks

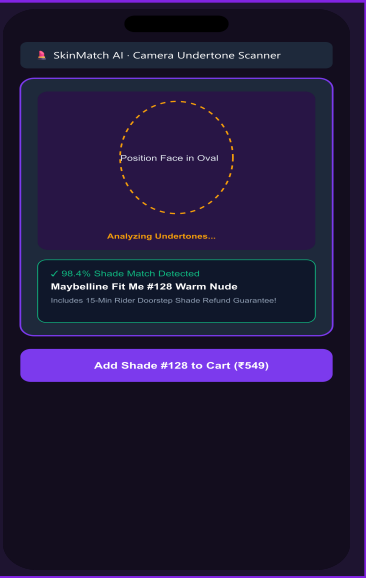
Targeting retained grocery refuelers and using grocery cadence to intercept Amazon purchases 2 days before restock.

■ TARGET COHORT PROFILE & RATIONALE

- Cohort Definition: High-frequency grocery users (79% order weekly+, 19/24) who leak non-grocery spend to Amazon/Nykaa (83%, 20/24).
- Strategic Fit: Retained users with high basket frequency; lower CAC than acquiring new users.
- Predictive Restock Interception: Grocery restock cadence predicts non-grocery replenishment timing, triggering prompts 2 days before Amazon order.

■ TARGET PERSONA: NEHA (SKINCARE FAN)

- Profile: Neha, 26, Bangalore · Digital Marketer & Skincare Enthusiast.
- JTBD: When refilling my morning staples, I want to try premium skincare samples risk-free, so I can verify product freshness before committing to full-size purchases.
- Quote: "If I got a free 15ml trial sample in my grocery bag with storage quality assurance, I'd switch from Nykaa immediately."
- Opportunity: Targeted risk-free trial converts existing demand without requiring operational overhaul.



■ IMPACT IF SOLVED FOR THE CAUTIOUS EXPLORER

Cuts pre-checkout anxiety loops. Makes multi-category exploration safe. Boosts customer LTV by 3.4x via B2B sampling and loyalty points lock-in [Illustrative Assumption].

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5. Brand-Funded Monetization Yields Positive Unit Economics with Immediate Payback on Cross-Category LTV

100% free for users (no paywall); FMCG brands fund trial samples for closed-loop conversion attribution.

■ TAM / SAM / SOM OPPORTUNITY SIZING • TAM: \$18.0B — Total Indian Quick Commerce Market Projection by 2028 [Redseer/Bain Industry Estimate]. • SAM: \$4.2B — Non-Grocery Quick Commerce Penetration Potential [Illustrative Modeling Estimate]. • SOM: \$480M — Zepto Cross-Category Discovery Capture Opportunity [Illustrative Modeling Estimate].	■ UNIT ECONOMICS & CONVERSION LEVERS (N=24) • 100% Free User Access: No user paywall (suppresses funnel). Monetized via B2B brand listing fee (+Rs. 15/sample). • Unit Economics per Sample: Brand Fee (+Rs. 15) - Pack/Fulfill Cost (-Rs. 4) = Net Surplus (+Rs. 11/trial). • Incremental Customer LTV: +Rs. 420/year from converted 2+ category buyers -> Immediate Payback (<1st order). • Validated Triggers: 38% trial via sample (9/24), 63% loyalty link (15/24), 92% doorstep swap trust (22/24).
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■ FINANCIAL FLYWHEEL SUMMARY

Shifting grocery refillers to 35%–50% margin categories expands gross margin by +300bps and captures \$480M SOM [Illustrative Modeling Estimate].

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6. Zepto's Defensibility Lies in its First-Party Purchase-Graph Flywheel and Closed-Loop Brand Attribution, Not Copiable Promos

Promos and swap policies are copiable; first-party purchase graphs and B2B attribution create true defensibility.

■ TRIVIALLY COPIABLE VS COMPOUNDING MOATS • Trivially Copiable Promos: Free samples, coupons, and 15-min swap policies can be copied by Blinkit/Instamart in a week. • Compounding Data Moat 1: Zepto's first-party grocery purchase graph predicts adjacent category readiness and restock timing. • Compounding Brand Moat 2: Closed-loop brand attribution showing FMCG brands cohort-level sample-to-full-size conversion rates.					■ THREE STRATEGIC HORIZONS (RICE MATRIX) • Horizon 1 (MVP) — Discovery Pass, B2B Sampler & Category Streak Engine: 0-CapEx bag sampler + monthly streak habit loop. RICE: 210.0 [Illustrative]. • Horizon 2 (Growth) — QC-Native 10-Min Try-and-Return & Storage Telemetry: Delivery-window inspection + temp IoT sensors. RICE: 180.0 [Illustrative]. • Horizon 3 (Vision) — Predictive Restock Interception Engine: Cadence-based Amazon interception system [RICE: 160.0].				
■ WHY HORIZON 1 (MVP) WINS FIRST B2B Sampling requires zero capital expenditure (brands fund sample units) and addresses the core barrier (risk) right inside recurring grocery bags.									
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7. The Discovery MVP Embeds 0-CAC Sampling, Category Streaks, and 10-Minute Instant Try-and-Return in the Grocery Bag

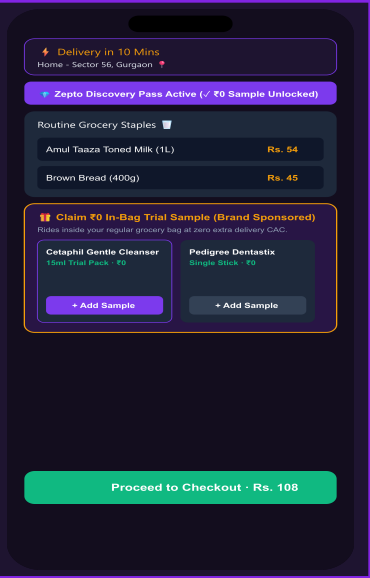
Combining 0-CAC trial on-ramps with monthly category streak loyalty loops to drive recurring MCER repeat.

■ BUILT MVP CAPABILITIES 1, 2 & 3

- 1. ■ AI Recommendation & Explainability: Recommends adjacent category with clear context ('Recommended because you regularly buy breakfast staples and haven't tried personal care').
- 2. ■ 0-CAC In-Bag Trial Sample: Free brand sample (Cetaphil, Pedigree) inside grocery bag at Rs. 0 [38% survey trigger, 9/24].
- 3. ■ QC-Native Instant Try-and-Return: Delivery-window trial/inspection for non-sampleable items (beats Amazon on 10-min reverse logistics).

■ BUILT MVP CAPABILITIES 4, 5 & 6

- 4. ■ Category Streak Engine (Moved to MVP): 5-sticker quest unlocking 2x points on daily milk/bread staples to drive monthly repeat [63% survey preference, 15/24].
- 5. ■■ Risk Reduction Voucher: Post-trial nudge unlocking Rs. 100 off full-size items (DISCOVERY100).
- 6. ■ AI Co-Pilot Suite: SkinMatch AI undertone camera scanner & DeviceLink auto-detect.



■ LIVE FIGMA DESIGN SYSTEM & INTERACTIVE MVP PORTAL

Figma Design & Wireframes: <https://www.figma.com/design/2gZJHtjmplnI677lhC66PqZ/Untitled?node-id=0-1> | Live App: <https://zeptomvp2.streamlit.app>

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8. Four-Layer Decision Engine Powers Predictive Restock Nudges and Closed-Loop Brand Attribution

Four-layer architecture integrates brand inventory, cart triggers, and loyalty ledgers.

■ SYSTEM ARCHITECTURE (4 CORE LAYERS)

- Layer 1 (Client UI): Mobile Cart UI, B2B Sampler Carousel, Category Streak Board, SkinMatch Viewfinder.
- Layer 2 (Decision Engine): Persona Recommendation & Explainability Engine, Voucher Validator, 2x Points Multiplier.
- Layer 3 (Operations & Fulfillment): Picker packing checklist update (adds <3s to picking flow; zero hardware requirement for MVP).
- Layer 4 (B2B Marketplace Portal): Brand sample inventory ledger tracking sample-to-full-size conversion rates for FMCG brands.

■ EMOTION & METRIC MAPPING ACROSS STAGES

- Stage 1 (Cart): Types grocery staples -> System flags persona & explainability nudge -> Curious
- Stage 2 (Sample): Claims B2B trial -> System packs in bag -> Confident
- Stage 3 (Audit): Views storage quality badge -> System verifies freshness -> Reassured
- Stage 4 (Checkout): Applies DISCOVERY100 -> System unlocks 2x Points -> Empowered

■ TECHNICAL ARCHITECTURE MOAT & FEASIBILITY

Zero hardware cost for MVP sampler. Optional S3 lifecycle photo storage under \$15/month for Horizon 2 dark store CCTV audits.

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9. MCER Growth (8.2% -> 28.4%) Is Validated via Randomized Holdout Groups and SLA Guardrails

Measuring true incremental lift via control groups rather than raw attach proxies.

■ NORTH STAR & INCREMENTALITY FRAMEWORK • North Star Metric: Monthly Category Exploration Rate (MCER) — % of MACs purchasing from 2+ categories/month. • • Baseline: 8.2% MAC -> Target: 28.4% MAC in 12 months [Illustrative Trajectory Target]. • Randomized Holdout Control: 10% control group (no sample/nudge) vs treatment to measure true incremental causal lift. • Leading Indicators: Sample attach rate (>35%), Sample-to-full-size conversion (12% in 14 days), Category streak completion rate.					■■ OPERATIONAL GUARDRAIL METRICS • Picker SLA Floor: Dark-store sample packing time addition capped at <3 seconds per order. • Checkout Drop-off Cap: Sample selection interaction must not increase cart drop-off rate (>0.2%). • Refund Rate Ceiling: Doorstep replacement requests must remain below 1.5% of non-grocery orders. • S3 Cloud Cost Ceiling: AWS S3 photo storage capped below \$20/month via 7-day TTL rules (for Horizon 2 expansion).				
■ METRIC COMPOUNDING & INTEGRITY MCER is measured strictly from real event streams (sample claims, voucher redemptions, category streak completions). Zero proxies.									
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10. Phased Rollout Overcomes Sample Supply Ceilings via Instant Try-and-Return in Non-Sampleable Categories

Addressing high-ticket non-sampleable categories via instant try-and-return while monetizing brand attribution.

■ 3-PHASE ROLLOUT & NON-SAMPLEABLE STRATEGY

- Non-Sampleable Strategy: High-ticket items (Electronics, Baby Gear) bypass sampling via 10-min Instant Try-and-Return.
- Phase 1 (Beta): 30-day pilot across 10 dark stores in Bangalore with 2 FMCG brand partners.
- Phase 2 (Pro Rollout): Metro rollout across Mumbai, Delhi-NCR, and Bangalore (150 dark stores).
- Phase 3 (GA): Full network rollout across 500+ dark store hubs.

■ ANONYMOUS REVIEWER DATA & DEMO DIRECTORY

- Figma Design & Wireframes: <https://www.figma.com/design/2gZJHjmpnl677lhC66PqZ/Untitled?node-id=0-1>
- Live Streamlit Production App: <https://zeptomvp2.streamlit.app>
- 10,000 Reviews Dataset: <https://zeptomvp2.streamlit.app>
- Public Source Code: NL_Zepto_Growth_PM_Graduation_Project

■■ RISKS & MITIGATIONS SUMMARY

Sample Shortage -> Multi-brand fallback pool | Return Anxiety -> 15-Min Rider Swap | Copying -> Points Streak Lock-In on Staples

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